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Equity Group Q3'24 Earnings Note

research@aib-axysafrica.com

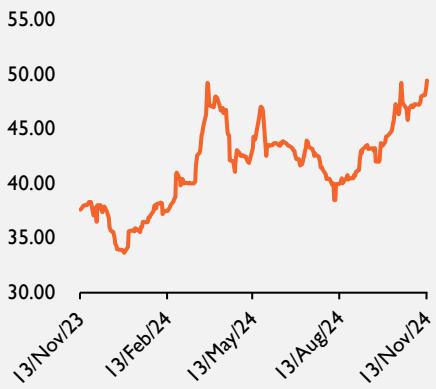


Equity Group Holdings Q3'24 Earnings Note

November 14th , 2024

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 51.00
52-week low:	KES 33.70

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	6.7%	23.6%	14.3%	31.6%

Source: NSE, AIB-AXYS Research

Analysts

Stacy Makau

smakau@aib-axysafrica.com

Recommendation	Current Price	Target Price
BUY	**KES 49.45**	**KES 55.14**

Summary

- **Equity Group Holdings demonstrated robust financial performance with net earnings climbing 13.1% y/y to KES 40.94Bn.** The growth was primarily driven by an 8.7% y/y increase in operating income, although this was partially offset by a steeper 19.1% y/y surge in pre-provision operating expenses. Net interest margins held steady at 7.5% as growth in reinvestment yields matched the increase in cost of funds. Trailing return on equity declined by 450bps y/y to 23.1% while trailing return on assets declined by 30bps y/y to 2.9%.

Key Highlights

- **Stable Margins:** Net Interest Income surged by 11.0% y/y to KES 80.59Bn primarily fueled by a surge in yields from government securities and customer assets. Non-Funded Income grew by 5.8% y/y to KES 61.15Bn supported by increased fees and commissions. The average yield on interest-earning assets paced up 40bps y/y to 11.7% reflecting a mild increase in reinvestment returns. However, this gain was offset by a corresponding 40bps y/y increase in cost of funds to 4.2%, resulting from the prevailing high interest rate landscape during the reporting period. Consequently, net interest margin held constant at 7.5%.
- **Resilient Asset Quality :** Gross Non-Performing Loans (NPLs) marginally increased by 0.7% y/y to KES 125.32Bn with Net NPLs decreasing 6.7% y/y to KES 54.16Bn. The gross NPL ratio increased marginally by 80bps y/y to 14.8%, reflecting slight pressure in the loan portfolio. NPL coverage strengthened, climbing by 24.6% y/y to 78.0%. In a strategic move signaling confidence in the loan book's stability, management reduced credit impairment provisions by 33.2% y/y to KES 12.68 Bn, underscoring a prudent approach to risk management.

Balance Sheet Dynamics

Customer deposits grew 9.0% y/y to KES 1,316.83Bn fueled by strong mobilization efforts in Equity Kenya and Equity Rwanda, which saw deposits surge 53% y/y and 39% y/y, respectively. In contrast, the loan book contracted 5.4% y/y to KES 800.14Bn on account of a reduction in the loan portfolios in Equity Uganda and Equity Tanzania, which declined by 27% y/y and 12% y/y respectively. The Group's credit distribution continued to diversify, with subsidiaries now accounting for 47% of all loans extended. Management strategically increased its holding of government securities by 5.2% y/y KES 468.14Bn. Despite the high-yield environment, the Group effectively managed duration risk in its fixed-income portfolio, turning a prior fair value losses on investment securities into a gain of KES 3.69Bn.

Challenged Operating Efficiency

The Cost-to-Income ratio (excluding loan-loss provisions) deteriorated as reflected by the 480bps y/y increase to 55.1%. Operating incomes increased 8.7% y/y to KES 141.74Bn led by Equity South Sudan subsidiary which posted an impressive 93% y/y jump in revenue. Collectively, subsidiaries accounted for 53% of the group revenue and 54% of pre-provisions operating profits. Pre-provision operating expenses soared 19.1% y/y attributable to investments in human capital and digital infrastructure. Cost pressures were most pronounced in Equity South Sudan and Equity Rwanda, where pre-provision expenses grew by 586% y/y and 46% y/y, respectively.

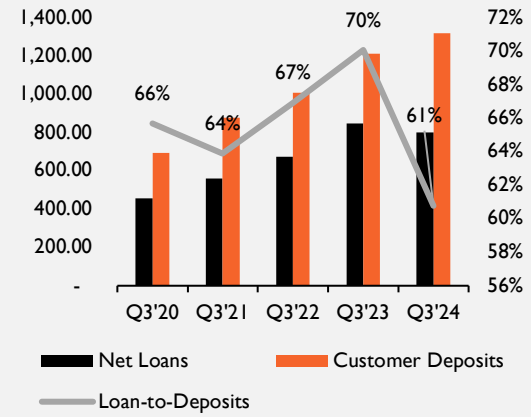
Outlook

We expect Equity Group's innovative tri-engine business model, which integrates a comprehensive ecosystem supporting entire value chains and households, to be a significant growth drive. We expect the continued integration of insurance into the bank's ecosystem to increase cross-selling opportunities, diversify revenue streams, and strengthen its market position.

Recommendation

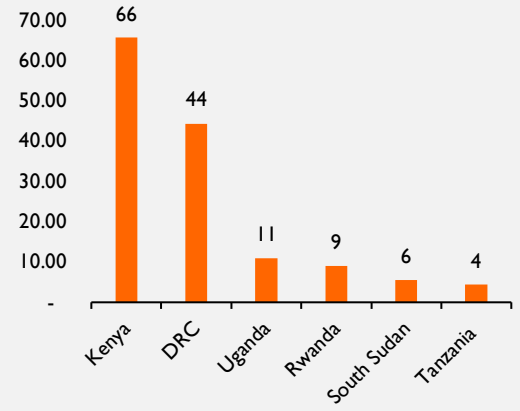
- **We maintain our *BUY* recommendation on Equity Group Holdings, supported by strong operational performance throughout its subsidiaries.** At the current market price, the stock is trading at P/E ratio of 3.4x and a P/B ratio of 0.8x. Our one-year target price for Equity Group Holdings currently stands at KES 55.14 - representing a c.11.5% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



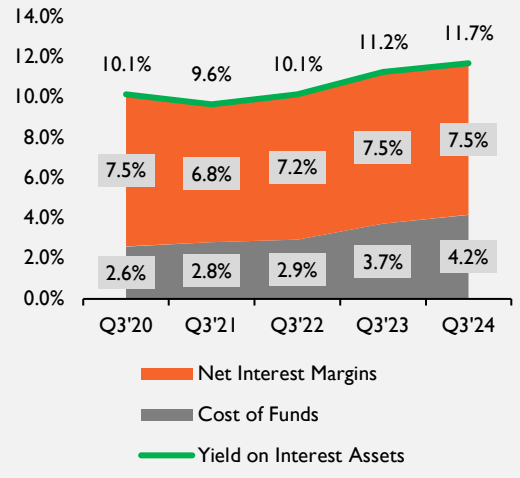
Source: Company filings, AIB-AXYS Research.

Chart 3: Regional Revenue Generation (KES Bn)



Source: Company filings, AIB-AXYS Research.

Chart 4: Constant Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Net Interest Income	39,310.5	48,484.6	59,843.8	72,604.6	80,585.6	▲ 11.0%
Non-Interest Income	24,818.0	31,974.6	42,220.1	57,800.6	61,151.6	▲ 5.8%
Total Operating income	**64,128.5**	**80,459.2**	**102,063.9**	**130,405.2**	**141,737.2**	▲ 8.7%
Provision for Impairment	(14,757.7)	(5,140.1)	(9,660.5)	(18,990.5)	(12,682.9)	▼ (33.2%)
Total Operating expenses	(45,275.0)	(43,834.7)	(57,738.9)	(84,498.3)	(90,714.7)	▲ 7.4%
Profit before tax	19,760.1	36,624.5	44,325.0	45,906.8	51,022.5	▲ 11.1%
Profit after tax	**15,043.4**	**26,874.3**	**34,375.7**	**36,204.2**	**40,941.6**	▲ 13.1%
Core EPS Annualized	5.33	11.28	16.81	16.94	17.13	▲ 0.8%

Balance Sheet (KES Mn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Government Securities	185,298.7	233,192.8	366,454.9	445,177.0	468,135.9	▲ 5.2%
Loans and Advances	453,889.9	559,013.0	673,913.4	845,918.8	800,140.0	▼ (5.4%)
Total Assets	**933,914.3**	**1,184,271.6**	**1,363,747.5**	**1,691,154.1**	**1,703,114.4**	▲ 0.7%
Customer Deposits	691,033.3	875,113.5	1,007,337.9	1,207,698.4	1,316,828.8	▲ 9.0%
Total Liabilities	796,332.4	1,020,934.1	1,209,671.3	1,497,945.3	1,476,074.0	▼ (1.5%)
Total Equities and Liabilities	**933,914.3**	**1,184,271.6**	**1,363,747.5**	**1,691,154.1**	**1,703,114.4**	▲ 0.7%

Ratio Analysis	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Spreads Analysis						
Yield on Assets	10.1%	9.6%	10.1%	11.2%	11.7%	▲ 0.4%
Cost of Funds	2.6%	2.8%	2.9%	3.7%	4.2%	▲ 0.4%
Net Interest Margin	7.5%	6.8%	7.2%	7.5%	7.5%	▲ 0.0%
ROaE	16.9%	21.7%	30.0%	27.6%	23.1%	▼ (4.5%)
ROaA	2.5%	3.0%	3.7%	3.1%	2.9%	▼ (0.3%)
Profit Margin	23.5%	33.4%	33.7%	27.8%	28.9%	▲ 1.1%
Operating Efficiency						
Cost to Income Less LLP	47.6%	48.1%	47.1%	50.2%	55.1%	▲ 4.8%
Cost to Assets Less LLP	3.8%	3.7%	3.8%	4.3%	4.6%	▲ 0.3%
Loan to Deposit	65.7%	63.9%	66.9%	70.0%	60.8%	▼ (9.3%)
Asset Quality						
Gross NPL Ratio	10.9%	9.6%	9.7%	14.0%	14.8%	▲ 0.8%
NPL Coverage	52.0%	60.6%	63.0%	53.4%	78.0%	▲ 24.6%
Cost of Risk	3.3%	0.9%	1.4%	2.2%	1.6%	▼ (0.7%)
Capital Adequacy						
Core Capital/TRWA	14.5%	13.5%	16.1%	15.2%	15.9%	▲ 0.7%
Total Capital /TRWA	17.5%	16.8%	20.7%	19.2%	18.3%	▼ (0.9%)
Liquidity	55.7%	59.3%	51.8%	49.7%	55.0%	▲ 5.3%



CONTACTS

Research Desk

Stacy Makau

Research Analyst

Sheila Wambui

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Anthony Kiambati

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Mike Gitonga

Mercy Ombuki

Email: trading@aib-axysafrica.com

Derivatives Trading

Anthony Kiambati

Email: Derivapplications@aib- axysafrica.com

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